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IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*

Between

CP(CAA)/22/(CHE)/2021 in CA(CAA)/619/2020

FAERY ESTATES PRIVATE LIMITED
CIN NO: U70101TN1998FTC134733
Global Infocity Park, 40,
Anna Nedunchalai, Kandanchavadi,
Perungudi, Chennai – 600 096

...Petitioner / Transferor Company

Along with

CP(CAA)/23/(CHE)/2021 in CA(CAA)/620/2020

AIROLI ITP DEVELOPMENT PRIVATE LIMITED
CIN:-U45202TN2017FTC134779
Global Infocity Park, 40,
Anna Nedunchalai, Kandanchavadi,
Perungudi, Chennai – 600 096

...Petitioner / Transferee Company

And

THEIR RESPECTIVE SHAREHOLDERS & CREDITORS

Order Pronounced on 1st June 2022

CORAM

R. SUCHARITHA, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): N.P.Vijay Kumar, Advocate
For OL : B. Palani, Authorized Representative

COMMON ORDER

Per: **R. SUCHARITHA, MEMBER (JUDICIAL)**

The hearing of this Petition has been conducted through video conferencing platform.

2. The present Company Petition has been filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Amalgamation of **FAERY ESTATES PRIVATE LIMITED** *(hereinafter referred to as "Transferor Company")* and **AIROLI ITP DEVELOPMENT PRIVATE LIMITED** *(hereinafter referred to as "Transferee Company")* under Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') (hereinafter referred to as the 'SCHEME') pursuant to the Scheme proposed by the Petitioner Companies and the said Scheme is also annexed as 'Annexure - D' to the typed set filed along with the Petition.

3. The Registered office address of the Transferor and Transferee Company is situated at Chennai, Tamil Nadu and falls within the jurisdiction of NCLT Chennai Bench. The Transferor and Transferee Company had filed a company application bearing CA/619& 620/CAA/2020 before the NCLT, Chennai Bench and directions were issued vide order dated 02.06.2021.

4. **1ST MOTION APPLICATION – IN BRIEF**

4.1. The Transferor Company had filed its First Motion Application vide CA/619/CAA/2020 seeking directions for dispensing with the meeting of the Equity Shareholders, Preference Shareholder, Secured Creditor and Unsecured Creditors of the *Transferor Company*. In respect of the Transferee Company in CA/620/CAA/2020 seeking directions for dispensing with the meeting of the Equity Shareholders, and Unsecured Creditors of the *Transferee Company.* It was represented that there was no Secured Creditors in respect of the *Transferee Company.* Subsequently the second motion petition was filed before this Tribunal by the petitioner companies on 24.06.2021 for sanction of the Scheme of Amalgamation by this Tribunal.

5. **RATIONALE OF THE SCHEME**

5.1. The Rationale and benefits of the Scheme as submitted by the Learned Counsel for the Petitioner Companies would *inter alia* result in the following benefit;

a. Consolidation of like businesses of the group to enhance value to the shareholders.

b. Transferor Company and Transferee Company are under the common control and management and operate in the same industry i.e. construction and development of commercial buildings. Hence, the amalgamation seeks to optimize and reduce the

operational and other costs associated with running of multiple group companies within the same industry and under the same management. Further, as they operate in the same sector, the amalgamation would bring in synergies in the business operations of the Transferor and Transferee Companies.

c. The amalgamation will simplify the group structure which would in turn improve the organizational capacity.

d. Amalgamation reduces the corporate secretarial requirements. Currently each entity has a separate board of directors who need to meet on a quarterly basis and some of the decisions need to be formally documented separately for each entity. Fewer number of entities would help in saving management time as senior people are on board of directors of each entity.

e. Amalgamation would considerably reduce the inter-company transactions.

f. The amalgamation is expected to bring greater management focus, integration, for better and more efficient controls.

g. This Scheme is in the best interests of the shareholders and creditors of the Transferor and Transferee Companies and they shall not be prejudiced by the Scheme. The Scheme does not seek any waiver of any rights or outstanding obligations towards the creditors and shareholders of the Transferor and Transferee Company.

h. Greater integration and flexibility for the Transferee Company, resulting in maximizing overall shareholder value, and will improve the competitive position of the Transferee Company in the market.

6. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 28.07.2021 directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC, Chennai, (iii) the Income Tax Department, (iv) Official Liquidator and other sectoral regulators, who may govern the working of the respective companies, as well as for paper publication to be made in "Business Standard", English (All India Edition) and "Makkal Kural" Tamil (Tamil Nadu Edition).

6.1. In compliance with the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner Companies have effected paper publication as directed by the Tribunal in one issue of "Business Standard" (All India Edition) in English and "Makkal Kural" (Tamil Nadu Edition) in Tamil on 14.06.2021. It is also seen that notices have been also served to (i) The Regional Director, Southern Region, Chennai on 14.06.2021, (ii) Registrar of Companies Chennai on 14.06.2021, (iii) Income Tax Department on 20.09.2021, (iv) Official Liquidator on 14.06.2021 and the proof of the same by way of affidavits have been enclosed with the typed set filed along with the Petitions. Pursuant to the service of notice of the

petition the following statutory authorities have responded as follows;

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

The Regional Director, *(hereinafter referred to as 'RD')* Southern Region, Chennai to whom the notice was issued has filed his Report before this Tribunal on 10.01.2022, wherein in para 3 of the Report it was stated that as per clause 1.2 of Part I of the Scheme, the Appointed Date is 01.04.2019, which is not acceptable, as it is ante- dated beyond a year and is not in accordance with Section 232(6) of the Companies Act, 2013. Hence it is prayed that the Hon'ble NCLT, Chennai may direct the company to revise its appointed date or may determine an appointed date as it thinks fit.

7.2. It was further submitted in Para 7 of the Report that as per Clause 5 of Part II of the Scheme has stated about protection of employees of the Transferor Company. All staff and employees of the Transferor Company, in service on the Effective Date shall be deemed to have become staff and employees of the Transferee Company, with effect from the Effective Date without any break in their service and other benefits.

7.3. It was further submitted in Para 8 of the Report that as per Clause 10 of Part 11 of the Scheme, the Transferor Company is a wholly owned subsidiary of the Transferee Company, which is the sole beneficial shareholder of the Transferor Company. Accordingly, no consideration in any form whatsoever shall flow in relation to the Scheme of Amalgamation, and no shares shall be issued by the Transferee Company.

7.4. It was further submitted in Para 9 of the Report that as per Clause 9 of Part II of the Scheme provides for cancellation of the paid up share capital of the Transferor Company without any further act, application or deed and accordingly stand extinguished upon effectiveness of the Scheme of Amalgamation, as the entire share capital is held by the Transferee Company.

7.5. It was further submitted in Para 10 of the Report that as per Clause 11 of Part III of the Scheme provides for clubbing for Authorized Share Capital of the Companies, as such the Authorized Share Capital of the Transferor Company shall stand be altered and merged with the Authorized Share Capital of the Transferee Company. Clause V of the MOA of the Transferee Company shall be altered as the Authorized Share

Capital of the Company shall be Rs.60,24,00,000 divided in to 4,60,20,641 Equity Shares of Rs.1o each; 22,19,359 Class B Equity Shares of Rs.10 each and 12,00,000 0.01% Non-Cumulative Compulsorily Convertible Preference Shares of Rs.100 each. The Transferee Company may be directed to remit the difference in fee/ stamp duty, if any, in accordance with Section 232(3)(i) of the Companies Act, 2013 and also to file the amended MOA and AOA with ROC, Chennai on the above alteration.

7.6 It was further observed that as per para 12 the report wherein it has been stated that as per the Report of the RoC, Chennai, the Transferor and Transferee Companies are regular in filing their statutory returns up to 31.03.2020 and has reported that there is no prosecution / Inspection or Investigation is pending against the Companies.

7.7 Thus, after examining the Scheme, except the observations as extracted *supra*, the Regional Director in their Report has stated that they have decided not to make any objection to the Scheme.

7.8. In relation to the objections raised by the RD in respect of the Appointed Date, it is seen that the Board of Directors of

the Petitioner Company has passed a Resolution approving the Scheme in the month of September 2020 itself and hence the contention of the RD that the appointed date is beyond a year is unsustainable.

7.9. OFFICIAL LIQUIDATOR

In relation to the Official Liquidator, *(hereinafter referred to as 'OL')* to whom the notice was issued has filed the Report before this Tribunal on 16.03.2022 and has stated that they have appointed Mr.R.Srinivas, Chartered Accountants from the panel maintained by their office to verify into the affairs of the Transferor Companies. The Chartered Accountants in their report submitted before the Official Liquidator have observed as follows;

- The Board of Directors of Faery Estates Private Limited in their meeting held on 02.09.2020 unanimously approved the Composite Scheme of Amalgamation of the Company Airoli ITP Development Private Limited.

- As per the Order of the Division Bench I, NCLT, Chennai dated 02.06.2021, the meeting of the Equity and Preference Shareholders, secured and Unsecured Creditors of the Transferor Company is dispensed with and hence there is no meeting held.

- The Affidavit for no objection to the scheme of amalgamation was obtained from One (1) Secured Creditor and Six (6) unsecured Creditors. No Affidavit has been obtained From the Security deposit holders amounting to Rs.77,95,12,073/- as on 30.06.2020". With regard to observation of the auditor regarding security deposits, the Official Liquidator Office sent a letter to the company on 21.01.2022 to clarify whether NOC obtained or not. In this regard, the company has submitted the letter dated 09.03.2022 enclosing therewith NOC of the 46 security deposit holders as on 31.12.2021 amounting to Rs.75,40,87,395/- and the copy of the NOC of the Security deposit holders are collectively enclosed at Annexure –B of the OL Report Typed set.

- The entire equity and preference share capital of the Transferor Company Faery Estates Private Limited amounting to Rs.36,92,41,000/- and Rs.11,06,00,600/- are held by the Transferee Company Airoli ITP Development Private Limited.

- The Company is maintaining proper books of accounts as per the requirements of the Companies Act, 2013.

- All entries have been made in the statutory registers in accordance with the requirements of the Companies Act, 2013.

- The files containing correspondence with the Registrar of Companies were also examined and nothing adverse or objectionable affecting the interest of the Company or its members or prejudicial to the Public Interest was noticed.

- The Company has not accepted any deposits from the public within the meaning of Section 73 to 76 of the Act and the rules framed thereunder.

- The Company is regular in filing Income Tax returns and no case was pending against the Companies and there are no tax arrears.

- The Company has no unpaid or unclaimed dividends and hence the question of commenting on compliance of Section 205 of the Companies Act, 1956 does not arise.

7.10. Further in Para 5 of the OL report it was further submitted that on scrutiny of the records of the Company, the Chartered Accountant has not come across any act of misfeasance by the Directors and there is no diversion of funds. Since the amalgamation is between the holding and subsidiary company, there is no share exchange ratio in the scheme of amalgamation. The Transferor Company is financially visible in handling the liabilities. The business of

Faery Estates Private Limited has not been carried on with intent to defraud the creditors of the company or any other person, or for any fraudulent purpose attracting penal provisions of the Companies Act, 2013. Neither has any person or officer of the company misapplied or diverted or become liable or accountable for any money property of the company nor have any of these persons been found guilty of any misfeasance or breach of trust in relation to the company under the provisions of the Companies Act, 2013.

7.11. From the above observations made by the Chartered Accountant, the Official Liquidator sought to take on record and consider the report of the Chartered Accountant and has also sought to fix the remuneration payable to the Auditor who has investigated into the affairs of Transferor Company. In this regard, this Tribunal hereby directs the Transferor Company to pay a sum of *50,000/- (Rupees Fifty Thousand only)* to the Official Liquidator for the payment of fees payable towards the Auditor who has investigated into the affairs of the Transferor Company.

7.12. **OTHER STATUTORY AUTHORITIES**

In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections to the Scheme and in the circumstances, this Tribunal presumes that other statutory Department viz. the Income Tax Department, does not have any objection to the sanction of the Scheme.

8. **ACCOUNTING TREATMENT**

8.1. The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Petitioner Companies are commonly placed as 'Annexure – A10 and A11' in the typed set filed along with the Petitions.

9. **OBSERVATIONS OF THIS TRIBUNAL**

9.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated

amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In view of the absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as Annexure "D" with the Company Petition as well as the prayer made therein.

9.2. The Learned Counsel for the Petitioner companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

9.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

9.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

10. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Company shall, pursuant to section 232(3) of the Companies Act,2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That the Appointed date for the Scheme shall be **1st April 2019** as specified in the Scheme.

(iv) That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(v) That all the employees of the Transferor Company in service on date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vi) Since the Transferor Company is a wholly owned subsidiary of the Transferee Company, there shall be no issue of shares as consideration for the amalgamation of the Transferor Company with the Transferee Company.

(vii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(viii) That the Transferor Company and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company registered with him on the file kept

by him in relation to all the Transferee Company and the files relating to both the said companies shall be consolidated accordingly.

(ix) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

11. Accordingly, the Company Petition stands **allowed** on the aforementioned terms.

-Sd-

MEMBER (TECHNICAL)

-Sd-

R. SUCHARITHA
MEMBER (JUDICIAL)

SriramAnanth.V